

NATIONAL INCOME MEASUREMENT

GDP | GVA | GNI/GNP | NDP | NNI | INDIA'S STATISTICAL SYSTEM

Continuous at-a-glance rail | static concepts + dated official methodology

01 ONE FLOW, THREE WINDOWS

PRODUCTION: sum value added

INCOME: compensation + surplus + mixed income

EXPENDITURE: final uses of domestic output

DISCREPANCY: sources/timing, never extra output

02 PRODUCTION BOUNDARY

GVA = output - intermediate consumption

IN: final use + inventories + qualifying own-account output

IMPUTE: owner housing + non-market government services

OUT: transfers + capital gains + old-asset value

03 TERRITORY TO RESIDENCE

1 GDP: production inside domestic territory

2 GNI/GNP: GDP + net primary income from abroad

3 RESIDENCE is not citizenship or ownership

4 PERSONAL TRANSFER: disposable-income bridge, not automatically GNI

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GROSS TO NET

$GDP - CFC = NDP$

$GNI - CFC = NNI$

CFC: current-value capital consumed in production

NOT repair cash, currency depreciation or natural depletion

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VALUATION BRIDGE

GVA AT BASIC PRICES

+ product taxes - product subsidies

= GDP AT MARKET PRICES

FACTOR COST: distinct legacy bridge using other production taxes/subsidies

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EXPENDITURE AND PRICES

$PFCE + GFCE + GFCF + \text{stocks} + \text{valuables} + X - M$

IMPORTS: boundary correction, not welfare judgment

NOMINAL: current prices | REAL: volume at reference prices

$\text{DEFLATOR} = \text{nominal} / \text{real} \times 100$

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INDIAN INSTITUTIONS

1 MoSPI: ministry responsible for official statistics

07 INDIAN INSTITUTIONS

- 1 MoSPI: ministry responsible for official statistics
- 2 NSO: national statistical producer
- 3 NAD: compiles GDP/GVA/GNI and NAS
- 4 STATE DES compile regional accounts; RBI/ministries supply inputs

08 RELEASE VINTAGE

FAE -> SAE -> PE -> revised/final

7 JAN 2026: FY26 FAE

27 FEB: SAE + new series | 5 JUN: PE

31 AUG: NAS 2026; always state base, period and vintage

09 2015 TO 2026 METHODS

2015: 2011-12 base + GDPmp headline + MCA21

2026: 2022-23 base + multi-activity segregation

Annual unincorporated surveys + GST/admin sources

Double deflation in agri/manufacturing + SUT integration

10 DEBATE TEST

MCA21: coverage gain vs active-unit/classification risk

DEFLATORS: output and input prices must fit the activity

INFORMAL PROXY: test stability during structural shocks

REFORM: surveys + revision decomposition + back series

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GDP LIMITS

- 1 AVERAGE: per-capita still misses distribution
- 2 BOUNDARY: most unpaid care outside core GDP
- 3 WEALTH: depletion/destruction not symmetrically deducted
- 4 QUALITY/JOBS: production growth is not a complete welfare verdict

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EXAM ANSWER SPINE

DEFINE the tested boundary

WRITE the exact bridge or identity

CITE dated Indian evidence and explain the mechanism

QUALIFY source, vintage and welfare limits; end with a dashboard

QUALIFIED VERDICT

GDP is indispensable for measuring production, but interpretation must preserve territory, valuation, price basis, source and vintage, then add employment, distribution, capability and environmental evidence.